

Multiple Choice (10 marks)

1. What is the capital of a firm that has total assets of 240,000, *total liabilities of* 100,000, and an income of \$40,000 for one year?
 - (a) \$240,000
 - (b) \$40,000
 - (c) \$100,000
 - (d) \$300,000
 - (e) \$280,000
2. The salesman for the Fabulous Footwear Co., receive a 1.5% commission on all sales. What would a salesman's income be for the month in which he sold \$54,600 worth of shoes?
 - (a) \$820
 - (b) \$500
 - (c) \$730
 - (d) \$54,600
 - (e) \$2,190
3. Mr. Williams owns a piece of property assessed at 7,800 *in a city which has a tax rate of* 2.80 per \$100. How much in property taxes does he pay?
 - (a) \$218.40
 - (b) \$220.00
 - (c) \$234.00
 - (d) \$210.00
 - (e) \$225.60
4. Jacob gave the Franklin Mint a 90-day note for \$1250 on October 10. If it was discounted at the bank on November 15 at $6\frac{1}{2}\%$, what were the proceeds?
 - (a) \$1,200
 - (b) \$1,215.75
 - (c) \$1,230.50
 - (d) \$1,235.00
 - (e) \$1,242.50

5. What is the effective rate of yield of a stock selling for 60 and paying an annual dividend of 2?
- (a) $2\frac{1}{2}\%$
 - (b) $3\frac{1}{3}\%$
 - (c) 4%
 - (d) 5%

True / False (10 marks)

Answer True or False

- 6. True or False: The selling price of the automobile represents 90% of its original cost.
- 7. True or False: Mrs. Kaplan paid an annual interest rate of 21.8% on her installment plan for the coffee table.
- 8. True or False: It takes 36 days for 1,640 to generate 6.56 in interest at an annual interest rate of 4%.
- 9. True or False: PEST analysis includes Political, Environmental, Strategic, and Social factors to evaluate market conditions.
- 10. True or False: Print media is the most effective type for showcasing product benefits and energizing advertising messages.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the calculation of interest paid on a loan of \$384.75 taken for 60 days at an interest rate of 6%. Analyze the factors influencing the total interest and its implications for financial decision-making.
- 12. Calculate the property tax for Norman Stevens based on his home's assessed value and the town's tax rate. Discuss how much of this tax is allocated to the county government and the implications for local finance.

End of Paper